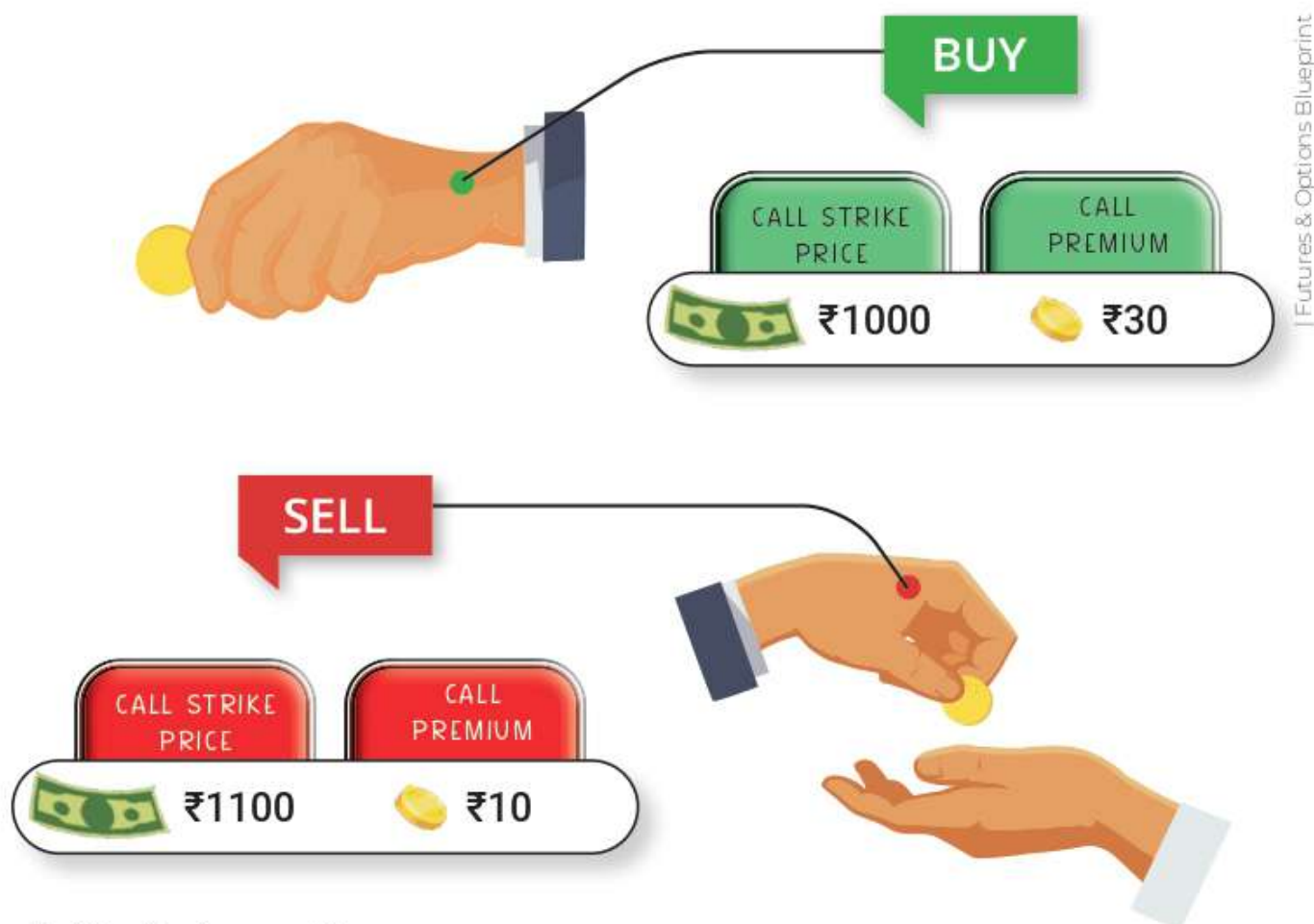


For instance, we buy a call option at ₹1000 at a premium of ₹30 and we sell another call option at ₹1100 for a premium of ₹10.



Netting the two positions.

COST OF CREATING THE STRATEGY = ₹30 – ₹10 = ₹20 THIS IS OUR NET INVESTMENT IN THIS STRATEGY.
MAXIMUM LOSS = Net premium = ₹20
BREAK EVEN POINT = Lower strike price + Net premium cost = ₹1000 + ₹20 = ₹1020
MAXIMUM PROFIT = Difference in Strike prices - Net Premium = (₹1100 – ₹1000) – ₹20 = ₹80